Prem Seth vs Cbi on 19 January, 2023

Author: Jasmeet Singh

Bench: Jasmeet Singh

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 1828/2022 & CRL.M.A. 13818/2022
PREM SETH ..... Petitio
Through: Mr. Mohit Mathur, Sr. Adv. with
Bhanu Sanoriya, Mr. Abhir Datt, Mr. Deba
Gandhopadhyan, Advs.
versus
CBI ..... Respond
Through: Mr. Ripu Daman Bhardwaj, SPP
CORAM:
HON'BLE MR. JUSTICE JASMEET SINGH
ORDER

% 19.01.2023

1. This is a bail application seeking bail RCBD1/ 2014/ E/ 0004/ CBI/ BS&FC/ New Delhi case No. 23/2021 (old case No. 43/2019) u/s 120B read with 409/411/420/467/468/474/471 IPC read with Section 4 & 5 read with Section 6 of Prize Chits & Money Circulation Schemes (Banning) Act, 1978.

2. Mr. Mathur, learned senior counsel states that the applicant was appointed Director of M/s PGF Ltd in the year 2011 and as per the case of prosecution the alleged crime was executed between the year 1996 to 2004. It is further stated that the applicant had joined PGF Ltd in the year 2000 only.

3. It is stated that an FIR was registered, pursuant to the directions of Supreme Court in Civil Appeal No. 6572/2004 in PGF Limited vs. Union of India', wherein it was revealed that two companies, namely PGF Limited and PACL Limited were carrying out collective investment schemes (C/S) in the garb of sale and development of agricultural land. The companies were seeking investments from innocent persons in land without the companies having ownership of the said land. The investors were promised fixed return on land and also created documentation to show a reverse sale of land.

4. It is stated that one Nirmal Singh Bhangoo is the main accused and a Director in both PACL and PGF and was the person who was doing the entire fraud.

5. It is stated that PACL received about 5,46,00,000 number of active investments and raised a principle of about 45,18,40,000/-. PGF also raised about 332 crores.

6. An FIR was registered bearing No. RCBD/I/2014/E/0004 dated 19.02.2014 u/s 120B read with Section 420. The applicant was not named in the said FIR.

7. After investigation, a chargesheet was filed in the year 2016, wherein the applicant again was not named in the chargesheet. The supplementary chargesheet was filed on 31.12.2021, wherein the charges against the applicant were as under:

> "40. Shri PREM SETH: He was one of the shareholders of M/s PGF Limited and worked as Company Secretary since 2000. He was appointed as one of the Directors of M/s PGF Limited in the year 2011. Before being appointed as Director of the company, he was GM (Finance & Accounts). He was in conspiracy with the accused Promoters/ Directors of Pearl Group viz. Shri Nirmal Singh Bhangoo, Shri Gurmeet Singh, Shri Sukhdev Singh, Shri Subrata Bhattacharya and others to cheat the investors by illegally operating investment schemes, offering lucrative returns to the gullible investors, which were being operated without any statutory approval. These schemes were similar to the Collective Investment Scheme, where investors had no control over their investments. He also attended board meetings where major decisions of the company were taken."

8. The applicant was arrested on 22.12.2021. Since the applicant was in judicial custody, the applicant filed a regular bail application which was dismissed vide order dated 09.02.2022 by the learned Special Judge (PC Act) (CBI)-02, Rouse Avenue District Court, New Delhi. The applicant again moved an application seeking regular bail which was dismissed by the learned Special Judge vide Order dated 05.04.2022 however, the applicant was granted interim bail on medical grounds vide order dated 05.04.2022. Considering the medical condition of the applicant, his interim bail was extended and the applicant surrendered before the Jail Superintendent on 25.05.2022. The applicant moved regular bail application before this court along with interim bail application on medical grounds. That due to the further deteriorating health condition in custody, the applicant was again granted interim bail for the period of 4 weeks by this court vide order dated 20.06.2022 which was extended from time to time. Since 20.06.2022, the applicant is on interim bail.

9. Mr. Bhardwaj, learned SPP has stated that the applicant was a Director in PGF Ltd and was actively participating in board meetings. Hence, he was the party in the entire fraud and hence has vehementally opposed the granting of the bail to the applicant.

10. I have heard learned counsel for the parties.

11. The charges against the applicant are of a generic nature. There is no Specific allegation as to the applicant being the person who has masterminded the entire fraud or was actively a part of the fraud. There is no allegation with regard to the way or manner in which the applicant defrauded numerous innocent investors.

12. Even though, in the present case, the charges against the company are serious and grave, the same cannot be solely a ground of denial for bail to the applicant.

13. In the present case, the applicant does not have any criminal antecedents. There is no money trail which is pointing that the applicant has misappropriated funds collected from the general

public.

14. The Coordinate Bench has already granted bail to co-accused on 13.06.2022 on similar grounds. In the present case, chargesheet after investigation has already been filed. There are 441 witnesses named in the chargesheet. The evidence has not started as yet as charges are yet to be framed. The same will take considerable time.

15. I am of the view that it is not a case where the evidence would be concluded in the near future.

16. For all the aforesaid reasons, the applicant is entitled to be released on bail on the following terms and conditions:

> a. The applicant will furnish a personal bond in the sum of Rs. 5,00,000/- [Rupees Five lakhs], with one surety in the like amount, to the satisfaction of the Trial Court. b. The applicant will furnish his residential address to the IO, which will be verified by the IO. The applicant will remain resident at the said address and will give prior information to the Special Court and the IO in the event of any change of address. c. The applicant will not leave the country without the permission of the Court. His passport, if any, will be surrendered to the Court. In the event the applicant's passport is already in custody of any Court in connection with any other proceedings, an affidavit to that effect will be filed before the Court. The IO will also verify the position and file a verification report before the Court.
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> d. The applicant will give his mobile numbers to the IO and ensure that the said mobile numbers are kept in working condition and are reachable at all times.
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> e. The applicant will attend the Court on each and every date of hearing, unless exempted by the Court under exceptional circumstances.
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> f. The applicant will report to the Officer-in-Charge of the police station having jurisdiction over their place of residence on the first Monday of every calendar month at 04:00 PM, and will not be kept waiting for more than 30 minutes.
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> g. The applicant will not tamper with the evidence or attempt to influence any of the witnesses in the case or act in any other manner prejudicial to the trial.

17. The application is disposed of in the above terms.

JASMEET SINGH, J JANUARY 19, 2023 / (MS) Click here to check corrigendum, if any